

ACCT1

Fundamentals of Accountancy, Business and Management 1

Grade 12, Semester 1 study outline

A summary of section headings and key terms, made by students for revision. It is not the handout and does not replace it.

01. History-Origin and Nature of Accounting

History-Origin and Nature of Accounting

I. DEFINITION OF ACCOUNTING

- It is a systematic process of identifying, recording, measuring, classifying, verifying, summarizing, interpreting and communicating financial information. - It reveals profit or loss for a given period, and the value and nature of a firm's assets, liabilities and owners' equity.

P100,000 (initial investment)

P70,000 (used to buy printers and pay the bills)

P30,000 (balance cash left)

P50,000 (collection from customers (1month))

II. NATURE OF ACCOUNTING

- According to Accounting Theory: <http://accountingtheory.weebly.com/nature-and-scope-of-accounting.html>): "Accounting is a systematic recording of financial transactions and the presentation of the related information to appropriate persons." Based on this definition we can derive the following basic features of acc...
- Accounting is a service activity - Accounting provides assistance to decision makers by providing them financial reports that will guide them in coming up with sound decisions.
- Accounting is a process - A process refers to the method of performing any specific job step by step according to the objectives or targets.
- Accounting is both an art and a discipline - The word 'art' refers to the way something is performed.
- Accounting is a systematic method consisting of definite techniques and its proper application requires skill and expertise.
- So by nature, accounting is an art.
- Accounting is an information system - Accounting is recognized and characterized as a storehouse of information.

III. HISTORY OF ACCOUNTING

- Following is the evolution of accounting: A.
- The oldest evidence of this practice was the "clay tablet" of Mesopotamia which dealt with commercial transactions at the time such as listing of accounts receivable and accounts payable.
- 14th Century - Double-Entry Bookkeeping.
- The Italians of the 14th to 16th centuries are widely acknowledged as the fathers of modern accounting and were the first to commonly use Arabic numerals, rather than Roman, for tracking business accounts.
- 19th Century - The Beginnings of Modern Accounting in Europe and America.
- The American Association of Public Accountants was the forerunner to the current American Institute of Certified Public Accountants (AICPA).
- These types of transactions have challenged accounting professionals to develop new standards that will address accounting issues related to these business combinations.

Key terms

Accounting - commonly called the "Language of Business" wherein it delivers financial information to different

02. Users of Accounting Information

Users of Accounting Information

- Topic: Users of Accounting Information Accounting is the language employed to communicate financial information of

a concern to such parties.

- According to Slavin and Reynolds, Accounting is the discipline that provides information on which external and internal users of the information may base decisions that result in the allocation of economic resources in society.
- There are two broad categories of users of financial information: internal and external users.

I. INTERNAL USERS

- They are the primary users of accounting information.
- These are those individuals inside a company who plan, organize, and run the business.
- These users are directly involved in managing and operating the business.
- These include marketing managers, production supervisors, finance directors, company officers ...

A. Management

B. Employees

C. Owners/Investors/Stockholders

II. EXTERNAL USERS

- They are the secondary users of accounting information.
- These are individuals and organizations outside a company who want financial information about the company.
- These users are not directly involved in managing and operating the business.
- The two most common types of external users are: Potential Investor...
- Creditors (such as suppliers and bankers) use accounting information to evaluate the risks of granting credit or lending money.
- These also include government regulatory agencies such as Securities and Exchange Commission (SEC), Bureau of Internal Revenue (BIR), Department of Labor and Employment (DOLE), Social Sec...
- Creditors include suppliers as well as lenders of finance such as banks.

III. TYPES OF INFORMATION NEEDED BY EACH GROUP OF USERS

- Accounting information includes both financial (quantitative) and non-financial (qualitative) information used by the decision maker.
- Qualitative Analysis - means looking at the intangibles
- Quantitative Analysis - means looking at the actual numbers
- Comprehensive Analysis - should include looking at both quali...

Key terms

Accounting - language employed to communicate financial information of a concern to such parties

Accounting information - presented to internal users usually in the form of management accounts, budgets

03. Concepts and Principles of Accounting

Concepts and Principles of Accounting

- Topic: Accounting Concepts and Principles (GAAP) Generally Accepted Accounting Principles (GAAP) is the framework and guidelines of the accounting profession.

I. BASIC ACCOUNTING PRINCIPLES AND CONCEPTS

A. Business Entity Principle

- A business enterprise is separate and distinct from its owner or investor.
- Any personal transactions of its owner should not be recorded in the business accounting book unless the owner's personal transaction involves adding and/or withdrawing resources from the business.
- Example: If the owner has a barber shop, the cash of the barber shop should be reported separately from personal cash.

B. Going Concern Principle

- A business is expected to continue indefinitely.
- On this basis, generally, assets are recorded based on their original cost and not on market value.

C. Time Period Principle

- Financial statements are to be divided into specific time intervals.
- This principle entails a business to complete the whole accounting process over a specific operating time period.
- Accounting period may be monthly, quarterly or annually.
- For the annual accounting period, it may follow a Calendar or Fiscal ...
- The salary expenses from January to December 2015 should only be reported in 2015.

D. Monetary Unit Principle

- Amounts must be stated into a single monetary unit.
- The business financial transactions recorded and reported should be in the monetary unit, such as -- 1 of 5 -- Philippine Pesos, US Dollar, Euro, etc.
- Example: Jollibee should report financial statements in pesos even if they have a store in the United States.

E. Historical Cost/Cost Principle

- All business resources acquired should be valued and recorded based on the actual cash equivalent or original cost of acquisition, not the prevailing market value or future value. - The exception to the rule is when the business is in the process of closure and liquidation. - Accounts should be recorded initially ...
- The acquisition cost includes all expenditure made to prepare the asset for its intended use.
- It includes the invoice price of the assets, freight charges, insurance, and installation cost of any.
- When Jollibee buys a cash register, it should record the cash register at its price when they bought it.
- When a company purchases a laptop, it should be recorded at the price it was purchased.

F. Matching Principle

- Cost should be matched with the revenue generated. - This principle requires that revenue recorded, in a given accounting period, should have an equivalent expense recorded, in order to show the true profit of - the business.
- Example: Recording of doubtful account expenses should be done when the revenue was earned.
- Advanced payment from clients must be recorded in the month when the services were rendered.
- Expenses incurred in generating revenues should be recorded at the time when revenue was earned.

G. Conservatism Principle

- It is also known as prudence. - In case of doubt, assets and income should not be overstated while liabilities and expenses should not be understated. - The principle of conservatism gives guidance on how to record uncertain events and estimates.
- The principle of conservatism states that one should always consider an error on the most conservative side of any transaction. - This means minimizing profits by recording uncertain losses or expenses and not recording uncertain or estimated gains.

H. Consistency Principle

- The consistency principle states that companies should use the same accounting treatment for similar events and transactions over time. - The consistency principle does not state that businesses always have to use the same accounting method forever.

I. Materiality Principle

- 2 of 5 -- - In case of assets that are immaterial to make a difference in the financial statements, the company should instead record it as an expense. - The materiality concept, also called the materiality constraint, states that financial information is material to the financial statements if it would change th...
- In other words, all important financial information that would sway the opinion of a financial statement user should be included in the financial statements. - The concept of materiality is relative in size and importance.
- Since an eraser is immaterial relative assets, it should be recorded as an expense.

J. Objectivity Principle

When the customers paid Jollibee for their order,

- Jollibee should have a copy of the receipt to represent as evidence.

K. Revenue Recognition Principle

- The revenue recognition principle states that revenue should be recognized and recorded when it is realized or realizable and when it is earned.
- According to the revenue recognition principle, Bob's should not record the sale in December.

L. Accrual Accounting Principle

- Revenue should be recognized when earned regardless of collection and expenses should be recognized when incurred regardless of payment. - On the other hand, the cash basis principle in which revenue is recorded when collected and expenses should be recorded when paid. - Cash basis is not the generally accepted pr...
- Example: When a barber finishes performing his services he should record it as revenue.
- When the barber shop receives an electricity bill, it should be recorded as an expense even if it is unpaid.

M. Full Disclosure Principle

- All relevant and material information should be reported.
- Example: The company should report all relevant information.

II. QUALITATIVE CHARACTERISTICS OF FINANCIAL INFORMATION

- This means the financial statements are accurate and can be used to predict future company performance.
- Financial reporting must be timely and current in order to be used by investors and creditors.

Key terms

Philippine companies - required to report financial statements annually

04. Five Major Accounts and the Accounting Equation Part 1

Five Major Accounts and the Accounting Equation Part 1

- Topic: Five Major Accounts and the Accounting Equation Part 1 There are five main types of accounts in accounting, namely: assets, liabilities, capital / owner's equity, income, and expense.

I. ASSETS

- These are economic resources owned by the company expected for future gain. - They are property and rights of value owned by the company. - It refers to items like cash, inventory, accounts receivable, buildings, land, or equipment.
- Tangible Assets are the physical entities that the business owns such as its land, buildings, vehicles, equipment, and inventory.
- While Intangible Assets are the things that represent money or value such as Accounts Receivables, Patents, Contracts, and Certificate of deposit (CDs).

Two types of Assets

- Cash includes coins, currencies, checks, bank deposits, and other cash items readily available for use in the operations of the business.
- Trade and other receivables include the amounts collectible from any of the following accounts: a.
- Prepaid expenses include supplies bought for use in the business or services and benefits to be received by the business in the future paid in advance. -- 1 of 3 -- B.
- Equipment - includes typewriter, air-conditioner, calculator, filing cabinet, computer, electric fan, trucks, and cars used by the business in its office or factory.
- Furniture and fixtures - include tables, chairs, carpets, curtains, lamps and lighting fixtures.

II. LIABILITIES

- These include the debts or obligations payable to creditors and other outsiders to which your company owes money.
- Liabilities are one of three ways in which a business can acquire funding.

A. Current Liabilities - amounts due to be paid to creditors within twelve months

- Accounts payable includes debts arising from the purchase of an asset or the acquisition of services on account.
- Notes payable includes debts arising from the purchase of an asset or the acquisition of services on account evidenced by a promissory note.
- Loan Payable is a liability to pay the bank or other financing institution arising from funds borrowed by the business from these institutions payable within twelve months or shorter.
- Utilities payable is an obligation to pay utility companies for services received from them.
- Examples of this are telephone services, electricity, and water services.
- Accrued liabilities include amounts owed to others for expenses already incurred but are not yet paid.
- Examples of these are salaries payable, utilities payable, taxes payable, and interest payable.
- Mortgage payable is a long-term debt of the business with security or collateral in the form of real properties.
- Bonds payable is a certificate of indebtedness under the seal of a corporation, specifying the terms of repayment and the rate of interest to be charged. -- 2 of 3 --

III. OWNER'S EQUITY

A. Contribution (Investments) - may be start-up capital or a later infusion of cash

IV. THE ACCOUNTING EQUATION

- This represents the relationship between the assets, liabilities, and owner's equity of a business. - The value of a company's assets should always equal the sum of its liabilities and owner's equity. - The underlying concept of this formula is that every asset acquired by a company was financed either through deb...
- This simple formula serves as the foundation of double-entry bookkeeping wherein there are always two account entries made for each transaction-a debit to one account and a credit to another. figure 1: The Accounting Equation Let us put into practice the accounting equation above.

Key terms

- Contra-Asset Accounts - accounts deducted from the related asset accounts

05. Five Major Accounts and the Accounting Equation Part 2

Five Major Accounts and the Accounting Equation Part 2

- + Topic: Five Major Accounts and the Accounting Equation Part 2 There are five main types of accounts in accounting, namely: assets, liabilities, capital / owner's equity, income, and expense.

I. INCOME OR REVENUE

- - It is money the business earns from selling a product or service, or from interest and dividends on marketable securities. - Other names for income are revenue, gross income, turnover, and the "top line." - Net income is computed as revenue less expenses.
- Other names for net income include profit, net profit, and the "bottom line." Income accounts are classified as temporary or nominal accounts.

II. EXPENSES

- - These are money the company spends that allow a company to operate. - This may include advertising costs, utilities, rent, salaries and others.
- A unique type of Expense account, Depreciation Expense, is used when purchasing Fixed Assets.
- A contra-account, Accumulated Depreciation, is used to offset the Asset account for the item.
- Salaries or wages expenses include all payments made to employees or workers for rendering services to a company.
- Utilities expense is an expense related to the use of electricity, fuel, water, and telecommunication facilities.
- Insurance expense is the expired portion of premiums paid on insurance coverage such as premiums paid for health or life insurance, motor vehicles, or others.

5. Depreciation expense is the annual portion of the cost of tangible assets such as buildings,

- Uncollectible accounts expense/doubtful accounts expense/bad debts expense means the amount of receivables charged as expense for the period because they are estimated to be doubtful of collection.
- Interest expenses are the amount of money charged to the borrower for the use of borrowed funds. -- 1 of 4 --

III. ANALYZING THE EFFECTS OF BUSINESS TRANSACTIONS TO THE ACCOUNTING EQUATIONS

- The accounting equation shows that for every debit, there must be an equal credit.
- As we have already discussed, Assets, Liabilities and Owner's Equity are the three components of the accounting equation that make up a company's balance sheet.
- Here is a table to show you the effects of transactions on the accounting equation. figure 2: Elements of Accounting Equation table 1: Effects of transactions on the accounting equation The following details will include the amount and the account affected in illustrating the effects on the accounting equation.
- Notice that the accounting equation is always balanced in every transaction such that assets are always equal to liabilities and owner's equity.

1. Mr. Kim invests cash of Php10,000

- - increase in assets - cash - increase in owner's equity - Mr.

2. Mr. Kim invests equipment amounting to Php100,000

- - increase in assets - equipment - increase in owner's equity - Mr.
- Since this is an investment of Mr.

3. Renders Php5,000 services for cash

- There is an increase in assets for the cash collected and increase in capital as revenue increases capital. -- 2 of 4 --

4. Purchases Php1,000 supplies on credit

- - increase in assets - supplies - increase in liabilities - accounts payable Analysis: Supplies increase the assets of the business.

5. Purchases Php200,000 Land paying cash

- - increase in assets - land - decrease in assets - cash Analysis: Land increases the assets of the business.
- Cash correspondingly decreases with the cash paid for the purchase of land. table 2: Effects of transactions on the accounting equation

IV. CHART OF ACCOUNTS

- A chart of accounts is a list of all your company's accounts used, and is listed together in one place.
- The main account types include Assets, Liabilities, Owner's Equity, Income, and Expenses.
- The chart of accounts should give anyone who is looking at it a rough idea of the nature of your business by listing all the accounts involved in your company's day-to-day operations.

- A well-designed chart of accounts should separate out all the company's most important accounts, and make it easy to figure out which transactions get recorded in which account.
- This is a chart of accounts for a fictional business. -- 3 of 4 -- figure 1: Chart of Accounts Mabelin et al. .

Key terms

Income accounts - classified as temporary or nominal accounts. This is because their balance is reset to zero at

06. Book of Accounts

Book of Accounts

- Topic: Book of Accounts The two major types of books of accounts are the Journal and Ledger.

I. JOURNAL

- Companies initially record transactions and events in chronological order (the order in which they occur).
- Thus, the journal is referred to as the book of original entry. - For each transaction, the journal shows the debit and credit effects on specific accounts. - There are two types of journals:

General Journal

Special Journal

A. General Journal

- The general journal is the most basic journal. - Typically, a general journal has spaces for dates, account titles and explanations, references, and two amount columns. - The journal makes several significant contributions to the recording process: It discloses in one place the complete effects of a transaction.
- Entering transaction data in the journal is known as Journalizing.
- A complete entry consists of:

1. The date of the transaction which is entered in the Date Column

- The column titled P.R (which stands for Post Reference) which is left blank when the journal entry is made.
- This column is used later when the journal entries are transferred to the ledger accounts.

4. The Debit Account title which is entered first at the

- A journal entry should contain the Date, Account Titles and Explanation, Posting Reference, Debit, and Credit.
- Below is a sample of a General Journal. -- 1 of 5 -- To illustrate the recording of transactions in the general journal, let us use the following transactions as an example: - January 21, 2023 - Mr.
- Some entries involve only two accounts, one Debit and one Credit.
- An entry that requires three or more accounts is a Compound Entry.
- All of the transactions in the above examples are simple entries.
- An example of a compound entry is the following: - On February 15, 2023, Mr.

B. Special Journals

- These journals are used to record specific types of high-volume information that would otherwise be recorded in and overwhelm the general journal.
- In order to facilitate efficient and practical recording of similar and recurring transactions, a Special Journal is used.
- The following are the commonly used Special Journals: 1.
- The source document for this journal is the Official Receipts or Cash receipts issued by the business. -- 2 of 5 -- 2.
- The cash disbursements journal is the opposite of the cash receipts journal.
- It is the journal where all cash payments are recorded.
- The source documents used to update this journal are the check voucher or cash voucher, cash receipts or official receipts from suppliers or vendors.
- The source document for this journal is the charge invoice or sales invoice to various customers or clients.
- The Purchase journal or the Purchases on Account Journal is used to record recurring transactions of purchases on account.
- The source documents for the purchase journal are the invoices from the supplier of the company.

II. LEDGER

A. General Ledger

- The general ledger (commonly referred by accounting professionals as GL) is a grouping of all accounts used in the preparation of financial statements. - The GL is a controlling account because it summarizes all the activities that have taken place as recorded in its subsidiary ledger. - This may include advertisi...

1. The account portion refers to the Account Title for example: Cash, Accounts Receivable
2. The account number - assigned number for each account title
3. The Date column - when the transaction happened
4. The Item or Explanation represents the source journal and the nature of the transactions
6. The Debit and Credit columns - recording the amount of transactions from the journal

- Posting is the process of transferring information from the journal to the ledger.

B. Subsidiary Ledger

- A subsidiary ledger is a group of like accounts that contains the independent data of a specific general ledger. - An example of a subsidiary ledger is the individual record of various payables to suppliers.
- Take note that the total running balance for all subsidiary ledgers should equal the Accounts payable general ledger.

Key terms

Below - a sample of a General Journal

Posting - process of transferring information from the journal to the ledger. Debits in the journal are now

07. Debit and Credit in Business Transactions

Debit and Credit in Business Transactions

- Topic: Debit and Credit in Business Transactions As learned from the previous lesson, a journal is a chronological record of events and business transactions showing all the effects of each transaction in terms of debit and credits.
- Because transactions are initially recorded in the journal, it is called the book of original entry.
- The simplest journal is the general journal.
- A journal entry should contain the following: 1.
- Write the month on the first transaction unless there is a change in month for the succeeding transactions or a new page is used.

4. Debit. Under this column, write the debit amount for each debit account

5. Credit. Under this column, write the credit amount for each credit account

I. THE SIMPLE AND COMPOUND ENTRY

- The previous example where the owner, Gisel Ong, made an initial investment is a simple entry.
- In some cases, a transaction would require the use of three or more accounts, in which case the entry is called a compound entry.

II. JOURNALIZING THE TRANSACTIONS

- Journalizing is the process of recording a transaction in a journal after it has been recognized and measured. - In journalizing transactions, the double-entry system is used.
- It follows that for every debit, a corresponding credit is made. -- 1 of 3 -- - The total debits should equal total credits for every transaction.

III. RULES FOR DEBIT AND CREDIT

A. Your DEBIT to show

- Increase in assets - Decrease in liability - Decrease in owner's equity

Owner's withdrawal

Expenses

B. Your CREDIT to show

- Decrease in assets - Increase in liability - Increase in owner's equity

Initial Investment

Additional Investment

Revenue/Income

THE NORMAL BALANCE OF AN ACCOUNT

- The following are the normal balances of accounts:

IV. THE ANALYSIS OF A TRANSACTION

- Following are the steps involved in analyzing transaction:

1. From the business document, determine the kind of transaction or exchange made

- Determine the effect of the transaction on the accounts affected.

4. Apply the rules of debited and credited to show the corresponding increase or decrease

- We should analyze the transaction, identify the rules, and what would be the journal entry of the business transaction shown.

MAY 2

ANALYSIS

RULES

- -- 2 of 3 -- Debit increases in assets.

ENTRY

JOURNAL ENTRY

Dr Cr

Cash (A) 300,000

Ong, Capital 300,000

Initial Investment

Key terms

Following - steps involved in analyzing transaction:

Increase in assets - recorded by a debit to cash. Increase in owner's equity is recorded by a credit to Ong, Capital

08. Nature of Transactions in Service Business

Nature of Transactions in Service Business

I. SERVICE BUSINESS

- Service is a type of business operation engaged in the rendering of services.
- A service type of business earns based on the skill or quality of service it offers.
- He/She must train employees to replicate the quality of the service he/she renders.
- Examples of service business are dental clinic, barber shop, laundry service

II. THE ACCOUNTING CYCLE

- The life of a business is divided into accounting periods of equal length.
- It involves the following steps: A.
- Identifying and analyzing the events to be recorded - this is made through the business documents.
- It is the process of recording the transaction in the first book of account known as the journal.
- It is the process of transferring the information found in the journal into the book of final entry known as the ledger.
- Preparing the trial balance - The trial balance is a list of accounts found in the ledger together with the account's balance or total.
- This is a proof that for every debit, there is a corresponding credit.
- Preparing the worksheet and adjusting entries - The worksheet is a common tool used by accountants to assemble on a sheet of paper all the information needed to prepare the financial statements, adjusting entries, closing entries, and the post-closing trial balance. -- 1 of 3 -- F.

III. JOURNALIZING IN THE SERVICE BUSINESS

- The journal is a chronological record of events or business transactions showing all the effects of each transaction in terms of debits and credits.
- Because transactions are initially recorded in the journal, it is called the book of original entry.
- Entry: Our general journal should look like this: Sabaldana et al. .

Key terms

Service - type of business operation engaged in the rendering of services. A service type of business earns based on the skill or quality of service it offers.
Examples of service business - dental clinic, barber shop, laundry service

09. Posting and Unadjusted Trial Balance (Service Business)

Posting and Unadjusted Trial Balance (Service Business)

I. USE OF T-ACCOUNTS

- An account is a form of record that summarizes the increases or decreases of any specific accounting value.
- The simplest form of an account is the T-account because the accounting equation resembles the capital letter T.
- It is an informal tool used to analyze the effect of a transaction on the assets, liabilities, owner's equity, revenue, and expenses.
- The three elements of an account are:

1. Account Title

2. Debit

3. Credit

- Journal Entry on General Journal: T-Accounts: The T-Accounts should look like these:

II. POSTING

- Posting is the process of transferring information from the journal to the ledger.

1. From the journal, copy the date of the transaction to the ledger

- Pedro knows that business transactions should be separated from personal finances.
- Journal Entry on General Journal: Posting on General Ledger: (7) Transaction: February 25, 2016 - Paid the salary of Juana amounting to PHP4,000 Journal Entry on General Journal: Posting on General Ledger: The general ledger should look this: -- 5 of 9 --

III. TRIAL BALANCE

- The trial balance is the schedule of all balances to prove the equality of the debit and credit.
- It is a listing of all account titles with their respective debit or credit balances taken from the ledger.
- The following are the steps in the preparation of the trial balance:

1. In their proper numerical order, make a listing of all account titles

4. Foot or add the debit and the credit columns of the trial balance

- Check whether the debit totals and credit totals are equal.
- They must be equal; otherwise, there is error in your trial balance.

Key terms

- Posting - process of transferring information from the journal to the ledger. Debits in the journal are

10. Adjusting Entries (Service Business)

Adjusting Entries (Service Business)

I. ADJUSTING ENTRIES

- It is used to bring the accounts up to date which is needed and must be done at the end of the accounting period.

A. Prepayments - These are expenses already paid but not yet incurred or used

Asset Method and Expense Method

Journal Entry upon payment on April 30, 2023

Computation on Asset Method

Computation on Expense Method

- Divide P36,000 by 24 to get the monthly insurance then multiply it by 22 months representing the unexpired insurance from July 1, 2016 to April 30, 2018. $(P36,000/24)*22 = P33,000$ The effect of the adjusting entries on the ledger accounts after posting is the same regardless of the method used.

B. Unearned or Deferred Income - An income already received but not yet earned

Liability Method and Income Method

Journal Entry upon receipt of cash on August 1

Adjusting Journal Entry on September 30

Computation on Liability Method

Computation on Income Method

- Divide P90,000 by 6 to get the monthly dental fee then multiply it by 4 months representing the unearned dental fees from October 1, 2016 to January 31, 2017. $(P90,000/6)*4 = P60,000$ The effect of the adjusting entries on the ledger accounts after posting is the same regardless of the method used. -- 3 of 7 --

C. Accrued Expense - These are expenses already incurred or used, but not yet paid

Initial Entry of the Adjustments on December 31, 2023

D. Accrued Income - An income already earned but not yet received

Initial Entry of the Adjustments on June 30, 2023

Computation

E. Bad Debts / Doubtful Accounts - These are losses due to uncollectible accounts

Adjusting Journal Entry on December 31, 2023

Computation

- Depreciation Expense - This is the allocation of plant asset cost over its estimated useful life.
- This is the expense allotted for the wear and tear of property, plant, and equipment due to passage of time.
- 3 factors considered in computing the depreciation expense:

1. Cost - purchase price of depreciable asset

2. Salvage value - estimated value of the asset at the end of its useful life

Adjusting Journal Entry on December 31, 2023

- Computation: After the adjustments have been made, the next step is to make another trial balance-this time, the Adjusted Trial Balance.

II. ADJUSTED TRIAL BALANCE

- An adjusted trial balance is a financial report that lists all the accounts and their balances after adjustments have been made at the end of an accounting period.

3. Adjusted Trial Balance - Create the adjusted trial

- 4. balance by listing all the accounts again, this time including the adjustments. Ensure that the total debits equal the total credits to maintain the double-entry accounting principle. -- 5 of 7 -- Assume the following transactions: 1.

Adjusting Journal Entry on February 28, 2023

Posting on General Ledger

2. Juana's salary is not yet paid

Adjusting Journal Entry on February 28, 2023

11. Using a 10-column Worksheet (Service Business)

Using a 10-column Worksheet (Service Business)

I. WORKSHEET

II. 10-COLUMN WORKSHEET

- The 10-column worksheet is an all-in-one spreadsheet showing the transition of account information from the unadjusted trial balance through the financial statements.
- Using a 10-column worksheet is an optional step companies may use in their accounting process.
- The five column sets are the unadjusted trial balance, adjustments, adjusted trial balance, income statement, and the balance sheet.

II. STEPS IN PREPARING A 10-COLUMN WORKSHEET

7. Compute the total balances of all the columns and write them below the last account row

12. Closing and Reversing Entries (Service Business)

Closing and Reversing Entries (Service Business)

I. Closing Entries

- To close a temporary account, an entry is made to make its balance become zero.
- The Income Summary, considered to be a summary account, is used to close the income and expense accounts.

1. Close the income accounts

2. Close the expense accounts

3. Close the income summary to capital

4. Close the drawing account

1. Close the income accounts

- The credit is made to the income summary account. -- 1 of 4 --

2. Close the expense accounts

3. Close the income summary to capital

- Since Matapang Computer Repairs incurred a net income, their closing entry should look like this: If the company incurred a net loss, the closing entry should look like this:

4. Close the drawing account

- It is for this reason that the debit balance of the drawing account should be closed to capital.
- If ever the company had a drawing balance, the closing entry should look like this:

II. Post-Closing Trial Balance

III. Reversing Entries

- Reversing entries are made to simplify the accounting process.
- They are made on the first day of the next accounting period.
- Following are the adjusting entries that can be reversed:

1. Prepayments (expense method)

2. Unearned Revenues (income method)

3. Accrued expenses

4. Accrued income

Adjusting Entry

Key terms

- Reversing entries - made to simplify the accounting process. They are made on the first day of the next
 - Following - adjusting entries that can be reversed:
-

13. Nature of Transactions in Merchandising Business

Nature of Transactions in Merchandising Business

I. NATURE OF MERCHANDISING BUSINESS

- For example: In a pharmacy, the merchandise that they usually sell are medicines and other healthcare products, so those are the merchandise inventory.
- Therefore, it is not considered as a merchandise inventory and not recorded as a sales revenue.

II. TERMINOLOGIES

- Sales Revenue or Sales - a term used which refers to a merchandiser's primary source of income.

Expenses (OP)

C. Cost of Good Sold (COGS) - refers to the total cost of merchandise sold during the period

III. INVENTORY SYSTEMS IN MERCHANDISING BUSINESS

- Thus, the merchandise inventory is an important factor in the determination of these goods as well as the cost of sales.
- The two alternative systems which can be used in -- 1 of 3 -- recording transactions related to a company's merchandise inventory are the periodic system and the perpetual system.

IV. TRANSACTIONS AND JOURNAL ENTRIES IN A MERCHANDISING BUSINESS

A. Recording of Purchases Transactions in the General Journal

- Purchases - refers to the items considered as merchandise and not the purchase of current or fixed assets.
- Owner's Drawing - refers to the withdrawal of merchandise by the owner of the business for personal use.

A. Recording of Sales Transactions in the General Journal

- This is the opposite of Freight-in.

V. THE SPECIAL JOURNALS

A. Cash Receipts Journal - used to record all cash that had been received

B. Cash Disbursements Journal - used to record all transactions involving cash payments

C. Sales Journal (Sales on Account Journal) - used to record all sales on credit (on account)

Key terms

- Purchases account - debited if the business is adapting the Periodic inventory system, the Merchandise inventory
- Freight-in - debited and cash is credited. (free on board)

14. Journalizing (Merchandising Business)

Journalizing (Merchandising Business)

JOURNALIZING

- Journalizing in a service business is the same in a merchandising business.
- However, journalizing in a merchandising system involves a lot of accounts and computations.

A. Periodic Inventory System

P10,000 - P1,0000 = P9,000

Sales (July 6) 150,000

Account Sales 130,000

Payment w/in discount period 127,400

B. Perpetual Inventory System

July 10 - cash sales, P46,000 (cost, P27,000)

July 11 - paid P6,000 freight on goods purchased

Inventory 80,000

Balance 64,000

Amount Paid 62,720

15. Posting and Unadjusted Trial Balance (Merchandising Business)

Posting and Unadjusted Trial Balance (Merchandising Business)

I. POSTING

II. JOURNAL AND LEDGER

A. Periodic Inventory System

B. Perpetual Inventory System

III. TRIAL BALANCE

- Trial balance should show that debit and credit are balanced.
- The following are the steps in the preparation of the trial balance:

1. In their proper numerical order, make a listing of all account titles

3. Foot or add the debit and the credit columns of the trial balance

- Check whether the debit totals and credit totals are equal.
 - They must be equal; otherwise, there is error in your trial balance.
-

16. Adjusting Entries (Merchandising Business)

Adjusting Entries (Merchandising Business)

ADJUSTING ENTRIES

- For illustration purposes, presented is the trial balance of Sweet Potion Merchandising. -- 1 of 5 -- Additional Information: a.

P60,000

Office Supplies expense for the year is P1,000

Store Insurance Expense for the year is P8,000

Unpaid sales salaries at year-end is P17,000

Key terms

Adjusting Journal Entries - entries used to update the accounts prior to the preparation of Financial Statements

17. Closing Entries and Post-closing Trial Balance (Merchandising Business)

I. CLOSING ENTRIES

- To eliminate the balances of the nominal accounts and prepare them for the next accounting period, closing entries

are made.

- The closing entries of a merchandising business are the same as those of a service business except for the additional temporary accounts introduced in the books of the merchandiser.
- Closing the entries of a merchandising business includes setting up the ending inventory and closing the beginning inventory.

II. POST-CLOSING TRIAL BALANCE

- Since all nominal accounts have been closed, only real accounts should appear in the post-closing trial balance.
- Except for the addition of the merchandise inventory account, all items in the post-closing trial balance are the same as those of the service business.

18. Using a 10-column Worksheet (Merchandising Business)

Using a 10-column Worksheet (Merchandising Business)

I. Overview

- A 10-column worksheet is a tool used by accountants to organize accounting data and prepare for the preparation of financial statements.
- In a merchandising business, it includes the Cost of Goods Sold (COGS) and Merchandise Inventory, which are not present in a service business.

II. Purpose of the Worksheet

- To ensure that debits equal credits.
- To assist in adjusting entries.
- To simplify the preparation of financial statements.
- To help detect accounting errors.

III. Structure of the 10-Column Worksheet

1. Trial Balance

2. Adjustments

3. Adjusted Trial Balance

4. Income Statement

5. Balance Sheet

IV. Merchandising-Specific Accounts

- In merchandising businesses, additional accounts may include: - Sales - Sales Returns and Allowances - Sales Discounts - Cost of Goods Sold - Merchandise Inventory - Purchases (if periodic inventory method is used)

V. Example Entries for a Merchandising Business (Simplified)

- Below is a simplified example of how entries may appear in the worksheet: Account Title Trial Balance Trial Balance Adjustments Adjustments

Debit Credit Debit Credit

Cash 100,000

Merchandise

Inventory

Sales 300,000

Cost of Goods

Sold

VI. Tips for Completing the Worksheet

1. Begin with the trial balance from the ledger
2. Add adjustments for items like ending inventory and accruals
3. Prepare the adjusted trial balance
4. Separate income statement accounts (revenues & expenses)
5. Separate balance sheet accounts (assets, liabilities, equity)

VII. Common Errors to Watch Out For

- Forgetting to adjust Merchandise Inventory.
- Misclassifying accounts between income statements and balance sheets.
- Unequal debit and credit totals.

Key terms

Below - simplified example of how entries may appear in the worksheet: